AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

APRIL/ MAY 2019

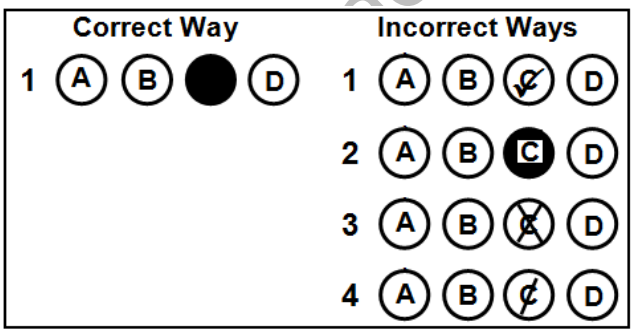
Principles of Accounting Paper I

Time: 40 minutes Marks: 25

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. Assets and liabilities both will increase because of

   A. drawings by owner.
   B. payment to suppliers.
   C. purchase of furniture on credit.
   D. purchase of goods on cash.

2. The following details related to the statement of financial position (balance sheet) have been taken from the books of Hamra Enterprises as on March 31, 2019.

Account Title	Amount (Rs)
Current assets	263,000
Non-current assets (fixed assets)	780,000
Current liabilities	165,000
Capital	600,000

   The amount of long-term liabilities (non-current liabilities) for Hamra Enterprises as on March 31, 2019 would be

   A. Rs 1,043,000
   B. Rs 1,808,000
   C. Rs 278,000
   D. Rs 765,000

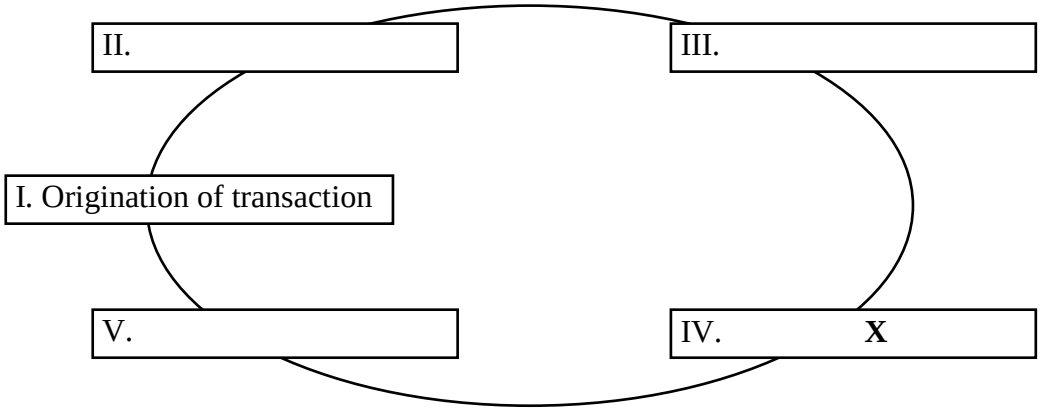
3. Bushra understands that her business will do better if she hires new and highly skilled staff.

   The accounting principle that prevents her from recording this in her statement of financial position (balance sheet) is known as

   A. accounting entity.
   B. accounting period.
   C. going concern.
   D. money measurement.

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4. The given diagram represents accounting cycle.



The step that has been labelled as **X** is

A. financial statement preparation.
B. general journal recording.
C. ledger posting.
D. trial balance preparation.

5. The stock that is deducted in the calculation of cost of sales (cost of goods sold) is known as

A. ending inventory (stock).
B. opening inventory (stock).
C. inventory (stock) purchased.
D. inventory (stock) sold.

6. The following cash account has been taken from the books of Muzammil Traders.

Cash Account					
Receipt		**Amount (Rs)**	**Payment**		**Amount (Rs)**
Mar 01	Balance b/d	48,000	Mar 10	Trade payable	13,000
Mar 05	Bank	18,000	Mar 15	Rent	7,000
Mar 20	Capital	80,000	Mar 25	Drawings	12,000

The closing balance of cash from the given account will be

A. Rs 32,000
B. Rs 114,000
C. Rs 146,000
D. Rs 178,000

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7. The following is the trial balance of ABC Estate Agency.

S. No.	Account Title	Debit	Credit
1	Cash	25,000	
2	Trade receivables (Accounts receivable)	35,000	
3	Trade payables (Accounts payable)		15,000
4	Capital		150,000
5	Commission income	15,000	
6	Salary expense		15,000
7	Office equipment	35,000	
8	Office furniture	30,000	
9	Insurance expense	40,000	
	Total	180,000	180,000

In the given trial balance, the accounts that are WRONGLY recorded as per their normal balance are

A. trade payables (accounts payable) and trade receivables (accounts receivable).
B. cash and capital.
C. commission income and salary expense.
D. office equipment and office furniture.

8. A statement that shows the summary of all the items of accounting equation and is prepared at the end of the accounting period is

A. cash flow statement.
B. income statement.
C. statement of changes in equity.
D. statement of financial position (balance sheet).

9. The owner of Hammad Sons paid an outstanding amount of Rs 20,000 through cheque to Bashir Traders.

The given transaction will result in

A. decrease in asset and decrease in liability.
B. decrease in asset and increase in liability.
C. increase in asset and decrease in liability.
D. increase in asset and increase in liability.

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10. Ramsha Traders bought furniture for Rs 175,000 on credit from Taiba Interiors.

Which of the following CORRECTLY represents the effect of the given transaction in the books of Ramsha Traders?

	Asset	Liability
I	increase	increase
II	decrease	decrease
III	decrease	increase
IV	increase	decrease

A. I
B. II
C. III
D. IV

11. The owner of Raees Traders withdrew goods of Rs 20,000 from the business for his personal use.

This withdrawal of goods will be recorded by Raees Traders as

	Particulars	P.R.	Debit	Credit
I	Drawings		20,000	
	Merchandise inventory (purchases)			20,000
II	Drawings		20,000	
	Cash			20,000
III	Merchandise inventory (purchases)		20,000	
	Drawings			20,000
IV	Cash		20,000	
	Drawings			20,000

A. I
B. II
C. III
D. IV

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12. Ahmed Traders bought goods for Rs 38,000 from Alpha Sons on credit.

    The book of original entry in which the given transaction will be recorded by Alpha Sons is

    A. cash book.
    B. general journal.
    C. purchase journal.
    D. sales journal.

13. Ali Enterprises bought ten water dispensers to be used in their office for Rs 12,000 each. The supplier gave a total discount of Rs 2,000.

    The amount of discount received by Ali Enterprises because of bulk buying will be termed as

    A. cash discount.
    B. purchase discount.
    C. sales discount.
    D. trade discount.

14. Rafay paid the rent of his house from his business bank account.

    The given transaction will be recorded in the cash book on

    A. payment side of bank column.
    B. payment side of cash column.
    C. receipt side of bank column.
    D. receipt side of cash column.

15. Purchase ledger control account provides information related to trade payables (accounts payable).

    The item that will be posted on the credit side of the purchase ledger control account is

    A. cash paid to suppliers.
    B. credit purchases of goods.
    C. discount received from suppliers.
    D. purchases return.

16. The account head that is shown in both sales ledger control account and purchase ledger control account is

    A. bad debt recovered.
    B. contra-setoff.
    C. discount received.
    D. return outwards.

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17. Safeer bought goods worth Rs 140,000 on credit from Aleem on January 01, 2018. On January 07, some of the defected goods worth Rs 6,800 were returned to Aleem.

The amount of goods returned will be recorded by Safeer as

	Account to be Debited	Account to be Credited
I	Aleem	Purchases return
II	Aleem	Sales return
III	Purchases return	Aleem
IV	Sales return	Aleem

A. I
B. II
C. III
D. IV

18.

Sales Journal				
Date	**Invoice**	**Name of Customer**	**P.R.**	**Account receivable (212) Sales (110)**
01.03.16	0050015	Rahim Traders		Rs 12,500
03.03.16	0050075	Karim Associates		Rs 57,000
05.03.16	0050093	Amin Brothers		Rs 45,000
07.03.16	0050124	Rahim Traders		Rs 25,000
09.03.16	0050138	Amin Brothers		Rs 12,500

The general entry to transfer the amount of the given journal will be

A. account payable Rs 152,000 debit and sales credit Rs 152,000
B. account receivable Rs 152,000 debit and sales credit Rs 152,000
C. sales Rs 152,000 debit and account payable credit Rs 152,000
D. sales Rs 152,000 debit and account receivable credit Rs 152,000

19. If equipment is bought on credit for resale purpose, then the equipment will be treated as

A. current asset.
B. current liability.
C. non-current asset.
D. non-current liability.

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20. Basit Sons bought a new machinery costing Rs 900,000 from Faisalabad. Following expenditures were incurred on the machine.

Expenditure	Amount (Rs)
Toll tax	3,000
Installation charges	18,000
Fire insurance premium paid for the year	9,000
Monthly maintenance charges paid in advance	3,000
Foundation charges	7,000

The cost of new machinery that will appear in the books of Basit Sons based on the given information would be

A. Rs 900,000
B. Rs 912,000
C. Rs 928,000
D. Rs 940,000

21. Hashim purchased a machine on January 01, 2018 for Rs 130,000.

It has an estimated life of 8 years with a salvage value of Rs 10,000. Depreciation is calculated using the straight line method.

The net book value of machine at December 31, 2018 will be

A. Rs 113,750
B. Rs 115,000
C. Rs 117,000
D. Rs 120,000

22. The estimated recoverable value of the asset at the end of its useful life is known as

A. allowance (provision) for depreciation.
B. depreciation expense.
C. net book value.
D. scrap value.

23. Alina purchased a vehicle on January 01, 2018 for Rs 90,000. Motor vehicles are depreciated at 20% per annum.

The amount of depreciation charged for the year 2018 will be

A. Rs 14,400
B. Rs 18,000
C. Rs 72,000
D. Rs 9,000

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24. Increase in allowance (provision) for doubtful (bad) debts expense is recorded as

	Account to be Debited	Account to be Credited
1	Doubtful (bad) debts expense	Trade receivables (accounts receivable)
II	Allowance (provision) for doubtful (bad) debts	Doubtful (bad) debts expense
III	Trade receivables (accounts receivable)	Allowance (provision) for doubtful (bad) debts
IV	Doubtful (bad) debts expense	Allowance (provision) for doubtful (bad) debts

A. I
B. II
C. III
D. IV

25. Tahir Sons received intimation from the court that Bilal has been declared bankrupt and will pay 40% of his outstanding debt only. The amount outstanding on Bilal is Rs 60,000.

The general entry to record bad debt written off would be

	Particulars	P.R.	Debit	Credit
I	Trade receivable (Bilal)		36,000	
	Doubtful (bad) debt expense			36,000
II	Doubtful (bad) debt expense		36,000	
	Trade receivable (Bilal)			36,000
III	Trade receivable (Bilal)		24,000	
	Doubtful (bad) debt expense			24,000
IV	Doubtful (bad) debt expense		24,000	
	Trade receivable (Bilal)			24,000

A. I
B. II
C. III
D. IV

END OF PAPER

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